

will reduce to as low as 25% in the near future.

HOWEVER, IT HASN'T been all smooth sailing. According to the original plan, PLI for the mobile handsets sector was supposed to end in 2024-25. By mid-2021, authorities had to extend the deadline by a year. This adjustment came in response to issues such as poor disbursement of incentives and a lack of clarity on incentive calculation, sparking protests from manufacturers like Samsung and Padget. Additionally, the challenges were compounded by disruptions caused by the pandemic and macroeconomic hurdles, further contributing to delays. Manufacturers now report that the issues pertaining to incentive calculations and disbursement have been successfully addressed. "We were the first to apply and get the incentive. Till date, all our dues have been up-to-date and are clear," says Vachani.

In the telecom gear space, investments to the tune of ₹2,725 crore had been received by the government till end-October 2023, out of the total ₹4,014 crore committed by the 42 applicant companies. Meanwhile, products worth ₹8,804 crore had been exported till end-October 2023 and incremental sales of ₹38,999 crore achieved out of the ₹2,37,807 crore committed by the applicants. The telecom PLI has also created 15,561

fresh jobs out of the targeted 44,494 new jobs. According to Lt Gen. (Retd) S.P. Kochhar, Director General of industry body Cellular Operators Association of India (COAI), some external factors have been responsible for creating hurdles for the industry. "The ongoing global supply chain disruptions, including chip shortages, for instance, have impacted the ability of companies to meet their targets under the PLI scheme. This external factor has been a significant hurdle," he says.

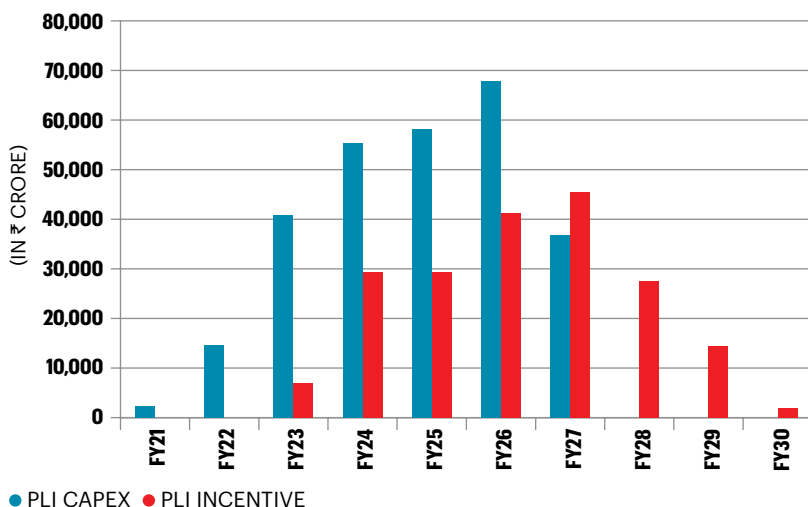
On the other hand, Mohammad Athar, Partner-Economic Development and Infrastructure at PwC India, highlights that from 2020 to 2022, the government successfully refined the process by delineating the intricate details of each PLI scheme. This included establishing clear guidelines for the application process across various sectors, implementing a streamlined incentive payout mechanism, and instituting dedicated bodies to scrutinise progress. "Since it is a fairly large scheme, it took a lot of effort between announcements and their actual launch for respective sectors," Athar says. And now with the house in order, experts anticipate investments and production will record a significant bump over the next few years.

If we glance back at the data, it shows that FY23 witnessed incentives totalling ₹2,900 crore being disbursed to manufacturers, a figure notably lower than

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HOW IT WORKS

- Capital expenditure by private players under PLI may peak in FY26
- Incentive payout is expected to continue till at least FY30



● PLI CAPEX ● PLI INCENTIVE

ESTIMATED TIMELINE OF INVESTMENTS AND INCENTIVES UNDER PLI

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"PLI would alter the order of the game, where today Indian manufacturers lag behind their Chinese competitors"

KANWALJEET JAWA
MD, DAIKIN
AIRCONDITIONING INDIA